



endowment it will be very difficult for them to part with it. They did not find out whether the stereo is competitively priced, whether there are better models in the market, or whether the same company has introduced a better model. Because it had become a part of their endowment it became very precious to them.

Businesses understand endowment effect too well. That's why they are willing to give their products on trial with money back guarantees on purchases. They know that once customers own the product, even if it is for a few days, its perceived value increases, and they may not want to return it.

Confirmation Traps

Suresh: *"I am sorry I have to cancel this evening's date."*

Swati: *"What happened? We'd fixed it two weeks ago."*

Suresh: *"I have stocks in Jindal Steel and they have called an analysts' meet. The stock is very hot in the market."*

Swati: *"Are you going to sell it?"*

Suresh: *"No, I may buy more. I want to know what the management thinks. I hope it's in line with my thinking. I researched the company before I bought the stock. I also know some of their managerial staff as I had met them when I last visited their office."*

Swati: *"I still don't understand why you are cancelling our date. You are not going to sell, and you can learn what happened at the meet from your friends."*

Why does one go to an analyst meet or on a company visit? To learn more about the company. But if you expect to hear actual facts you are living in a fool's paradise. Companies understand the value of the endowment effect. When they invite you and feed you, you will feel good about them and there is every chance you will buy into the company or get others to buy. Analysts go to analysts' meets for two reasons. Firstly they can meet other analysts, learn about new attractive job openings and salary scales, and of course be entertained. Secondly, if they or their firm hold stocks they want an endorsement on their holdings. The